

INTERNAL AUDIT REPORT

Procurement Compliance Audit | Report No. AR-02346

Report ID:	AR-02346
Audit Type:	Procurement Compliance Audit
Report Date:	August 27, 2024
Audit Period:	2024-01-11 to 2024-08-04
Lead Auditor:	Russell Davis (EMP-6557)
Reviewed By:	Calvin Reynolds (EMP-610)
Primary Vendor Reference:	XpressCore Dynamics Ltd (VND-01166)
Subject Employee Reference:	Paula Johnson (EMP-67574)
Primary Transaction Reference:	TXN-C908399435
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This procurement compliance audit covered the period 2024-01-11 to 2024-08-04 and examined transactions, approvals, and compliance records associated with vendor XpressCore Dynamics Ltd (VND-01166) and employee Paula Johnson (EMP-67574). The audit identified 3 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **MEDIUM**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C908399435 (amount 90,137.30 AUD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-000628	MEDIUM	VENDOR RISK	Payment issued to VND-VND-04488 rated LOW risk. Active contract CON-103410 in place. Enhanced due diligence not documented.
FND-002882	MEDIUM	POLICY BREACH	Entertainment expense of \$43,145 submitted by EMP-71686 exceeds monthly policy allowance of \$500,000.

Finding ID	Severity	Category	Description
FND-00079 4	MEDIUM	MISSING RECEIPT	Reimbursement of \$276,954 for Entertainment was approved despite no receipt documentation in the system.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-003081	COMPLIANCE RECORD	EVD-WOH-3925	0.83
EVI-005769	DNS LOG	EVD-ADR-5668	0.67
EVI-007722	POLICY DOCUMENT	EVD-BDT-8889	0.77
EVI-014468	AUDIT REPORT	EVD-VMG-7406	0.64

5. RECOMMENDATIONS

- Implement receipt-matching automation for expense claims above the policy threshold.
- Introduce automated system validation to block approvals exceeding the approver's authorised limit.
- Implement enhanced due diligence procedures for vendors rated HIGH or CRITICAL risk prior to contract renewal.

6. MANAGEMENT RESPONSE

Management agrees with the findings and has committed to implementing the recommended controls within 90 days.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Russell Davis	EMP-6557	2024-08-27
Reviewing Officer	Calvin Reynolds	EMP-610	2024-08-29